Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

ENERGY REGULATORY COMMISSION
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RESOLUTION NO. 12, Series of 2021

A RESOLUTION CLARIFYING THE APPLICABLE DISTRIBUTION FEEDER LOSS CAP FOR PRIVATE DISTRIBUTION UTILITIES BY 2022 ONWARDS

WHEREAS, Section 43 (f) of Republic Act No. 9136, otherwise known as the Electric Power Industry Reform Act of 2001 (EPIRA) provided that the cap on the recoverable rate of system loss prescribed in Section 10 of Republic Act No. 7832 shall be replaced by caps which shall be determined by the Energy Regulatory Commission (ERC) based on load density, sales mix, cost of service, delivery voltage and other technical considerations it may promulgate;

WHEREAS, pursuant to the abovecited EPIRA provision, the Commission promulgated Resolution No. 20, Series of 2017, entitled "*A Resolution Adopting the ERC Rules for Setting the Distribution System Loss Cap and Establishing Performance Incentive Scheme for Distribution Efficiency*";

WHEREAS, on 23 April 2018, the Commission promulgated Resolution No. 10, Series of 2018, entitled "*A Resolution Clarifying the System Loss Calculation and Providing the Effectivity of the Rules for Setting the Distribution System Loss Cap*";

WHEREAS, Article 2.3 of Resolution No. 10, Series of 2018 provides the Distribution Feeder Loss Caps for Private Distribution Utilities as follows:

2.3 Distribution System Loss Caps for Private Distribution Utilities

2.3.1 For Private Distribution Utilities (PDUs), the Distribution Feeder Loss Cap shall be as shown in Table 5.

Table 1. Distribution Feeder Loss Cap for PDUs

Year	Private DUs
2018	6.50 %
2019	6.25 %
2020	6.00 %
2021	5.50 %

2.3.2 The Distribution Feeder Loss Caps for Private Distribution Utilities shall be reviewed in 2021. A Private Distribution Utility who fails to submit at the minimum one-year's (from 2018 to 2020) worth of all the data described in Section 5.1 of the *Rules*, shall be excluded from the review and assigned a Distribution Feeder Loss cap of 4.75% by 2022 onwards.

WHEREAS, based on records, only MORE Electric Power Corporation (MORE) failed to submit the minimum one-year's (from 2018 to 2020) worth of all the data described in Section 5.1 of the Rules. Thus, the 2022 cap for all PDUs, except MORE, are still to be determined by the Commission;

WHEREAS, the Commission, through a partnership agreement with the United Nations Office for Project Service (UNOPS),[1] is undertaking the review for the setting of new DFL Cap for PDUs;

WHEREAS, the said study with UNOPS is expected to be completed by 2022;

WHEREAS, after due consideration and evaluation of the abovementioned issues, the Commission deems it proper that the distribution feeder loss cap for Private Distribution Utilities, except for MORE, by 2022 onwards shall be maintained at the approved 2021 Distribution Feeder Loss Cap of 5.50% until such time that a new feeder loss cap is promulgated after completion of the abovementioned ongoing study or review;

NOW, THEREFORE, the ERC, after thorough and due deliberation, hereby **RESOLVES,** as it is hereby **RESOLVED,** *that the distribution feeder loss cap for Private Distribution Utilities by 2022*

[1] UNOPS is a subsidiary organ established by UN General Assembly as a central resource for the UN system in procurement, contracts management and other capacity development activities, as well as its value in providing efficient, cost-effective services to partners in its specialized areas. UNOPS is the fund manager of the Southeast Asia Energy Transition Partnership (ETP) as a multi-stakeholder platform that aims to accelerate energy transition and deliver the Paris Agreement targets on climate change by engaging governmental partners and philanthropic donors to support the energy transition in the Southeast Asia region through blended finance with capacity building and technical assistance support. United Nations Office for Project Services (UNOPS) is an operational arm of the United Nations, supporting the successful implementation of its partners' peacebuilding, humanitarian, and development projects around the world.

onwards shall be maintained at the approved 2021 Distribution Feeder Loss Cap of 5.50% until such time that a new feeder loss cap is promulgated by the Commission.

These Rules shall take effect immediately after its publication in a newspaper of general circulation in the Philippines or in the Official Gazette.

Let copies of this Resolution be furnished the University of the Philippines Law Center-Office of the National Administrative Register (UPLC-ONAR), the Senate Committee on Energy, the House of Representatives Committee on Energy, the Department of Energy (DOE), and all Distribution Utilities.

Pasig City, 16 December 2021.

AGNES VST DEVANADERA
Chairperson and CEO

ALEXIS M. LUMBATAN
Commissioner

took no part
CATHERINE P. MACEDA
Commissioner

FLORESINDA G. BALDO-DIGAL
Commissioner

MARKO ROMEO L. FUENTES
Commissioner

ROS-SD/JMMM/NJDW/REM/LLG